Quillon Harbor Advisors LLC

www.quillonharbor.com

March 23, 2018

Joseph Jones
Chief Financial Officer
Blankenship Inc

Dear Joseph:

When we last met, you asked that this letter tell you what our work will cost before it tells you what the work is, since the managers who join you in this buyout will read it with their own savings in mind. That seems to me the right order, so I will begin there: Quillon Harbor Advisors will act as financial advisor to Blankenship Inc and its management group in the proposed acquisition of the company from its current shareholders, for a fee of $118,000, and our work will begin on April 2, 2018.

The fee covers all of the work this letter describes, from our first look at value through to closing, and it does not rise with the amount of debt we help you raise or with the price the group finally pays. We have set it that way on purpose, so that nothing we advise about how much to borrow or how much to offer can be read as serving our interest rather than yours.

Beyond the fee, the company will reimburse our reasonable out-of-pocket expenses, and we will ask you before incurring anything out of the ordinary. We cannot promise the calendar of a buyout in which the shareholders, the lenders and your own colleagues each set part of the pace, though in our experience a transaction of this kind occupies the better part of a year once the first lender has been called.

A management buyout asks the people who run a business to stand on both sides of it for a time, as stewards of the company for its present owners and as the buyers who hope to own it next, and our work is arranged to keep that position manageable. We will act for the management group of Blankenship Inc in this transaction and not for the shareholders, who will need an advisor of their own, and we will say so plainly to anyone who asks.

Our first task is an independent view of what the business is worth to a buyer whose own money is at risk. Angela Cole, an Analyst in our Advisory group, will build that view from management's model and from comparable management buyouts and other transactions of similar size, and we will take you through the range, and the assumptions beneath it, before any figure is put to the shareholders.

The second task is the financing. We will work out how much debt the company can carry without straining it, how much of the price the managers can fund themselves and how much the shareholders might reasonably be asked to defer, and we will then run a confidential process with lenders and other providers of capital covering 26 financing sources, a list we will settle with you before anyone is approached.

The third task begins once the shareholders have seen an offer they can take seriously, and it runs to closing. We will help you negotiate price and structure with the shareholders and their advisors, support the lenders through their diligence, and keep the commitment papers, the purchase agreement and the flow of funds moving together, so that no one of them is left waiting on another.

Richard Mccoy, a Partner of the firm, will lead the engagement and will be your first call on any question of value, structure or timing. Thomas Mccoy, an Advisory Associate, will run the work from day to day and will keep the lender materials, the data room and the record of who has received what; Angela Cole will support them both, and I will read every document before it leaves our office.

The work will ask a good deal of you in return. We will need management's model and the monthly results as each month closes, timely access to the company's records and to its senior managers, and the findings of the quality of earnings review the company commissions, because every lender we approach will want to see them.

Fees, Expenses and Invoicing

We will invoice against the fee of $118,000 as the work proceeds, together with any expenses incurred in the period, and each invoice is payable on receipt. Should the group decide to pursue a materially different transaction from the one described here, we will propose any change to these terms in writing before we begin the additional work.

Duration and Termination

This engagement takes effect on April 2, 2018 and continues until the transaction closes or until either of us ends it by written notice to the other. If the group decides not to go forward, a decision we will help you reach honestly if the numbers point that way, the company will owe the part of the fee earned by the work done to that point, together with expenses already incurred.

Confidential Information

We will hold in confidence all non-public information the company and its managers give us, and we will use it only for this engagement. A buyout by management is especially sensitive inside the company itself, so we will deal only with the people you name to us, and until a lender has signed

a confidentiality agreement every document we send it will describe the business by its sector and revenue band alone.

Limits on Our Liability

We will bring care and our best professional judgment to this work, but we cannot promise that any lender will commit, that the shareholders will accept an offer, or that a transaction will close on any particular terms. Our aggregate liability arising from this engagement is limited to the fees actually paid to us, neither of us will be liable to the other for indirect or consequential loss, and the company will indemnify us against claims by third parties arising from the engagement except to the extent they result from our own gross negligence or willful misconduct.

Governing Law and Entire Agreement

This letter is governed by the laws of the state in which Quillon Harbor maintains its principal office, and the courts of that state will hear any dispute that arises under it. It is the whole of our agreement on this engagement and may be changed only in a writing signed by both of us.

If this letter reflects what we have discussed, please sign where indicated below and return a copy to me. When it reaches us, Richard Mccoy will send you our first information request and propose a date for the working session at which we will go through management's model together.

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Heather Delacruz
Managing Partner
Date: March 23, 2018

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Joseph Jones
Chief Financial Officer, Blankenship Inc
Date: March 23, 2018